CYBER WEEKLY · 17 OCT 2026

Proofpoint agrees to buy Varonis for about $6.3 billion

Workday and IonQ agree to buy identity companies, CrowdStrike is reported to be in talks for Orion Security, and cyber shares fell sharply in the week.

DATA SECURITY

Proofpoint agrees to buy Varonis for about $6.3 billion

- **Proofpoint agreed to buy Varonis** for $49.75 a share in cash, about $6.3 billion. Proofpoint is owned by funds advised by Thoma Bravo.
- **The companies expect to close** in the first half of 2027, after a Varonis shareholder vote and regulatory approvals.
- **Varonis rose 2.9% to $48.72** the next day, below the offer. It reports results on 3 November with no conference call.
- **Our view:** one owner will hold data loss prevention, insider risk, data posture and data-access controls.

SOURCES SEC, 15 Oct · Proofpoint and Varonis, 15 Oct · Yahoo Finance, 16 Oct

IDENTITY

Workday and IonQ agree to buy identity companies

- **Workday agreed to buy C1.ai,** which governs what people and AI agents can access. Workday gave no price.
- **Workday says** C1.ai will make it "the identity governance layer for people, money, and agents".
- **IonQ, a quantum-computing company, agreed to buy Elisity** for up to $1.3 billion in shares. IonQ says Elisity controls which users, devices, workloads and AI agents can talk on a network.
- **Our view:** a business-software company is now competing with identity specialists to control what AI agents can reach.

SOURCES Workday, 13 Oct · SEC, 13 Oct · IonQ, 12 Oct

PLATFORMS

CrowdStrike reported to be in talks to buy Orion Security

- **Calcalist reports** CrowdStrike is in advanced talks to buy Orion Security for about $500 million. We found no statement from either company.
- **Calcalist says Orion's product** is designed to replace traditional data loss prevention. Orion was founded in 2024.
- **XM Cyber** now presents the sale of its technology to CrowdStrike as a "$600 million exit", Ynetnews reports.
- **We found no acquisition** by Palo Alto Networks, Microsoft, Cisco, Zscaler or Okta this week.

SOURCES Calcalist, 12 Oct · Ynetnews, 13 Oct

SHARES

Cyber shares fell sharply in the week

- **From 9 to 16 October**, Okta fell 19.3%, Palo Alto Networks 18.3% and CrowdStrike 17.3%, by our calculation. The Nasdaq fell 4.5%.
- **Check Point** was the only one of the cyber shares we checked to rise, up 0.5%.
- **247 Wall St linked a fall on 14 October** to a report that OpenAI plans to buy a security start-up. The Information reports early talks to buy Trail of Bits; the report is unconfirmed.
- **The sell-off intensified on 16 October,** Investor's Business Daily reports.

SOURCES Yahoo Finance, 16 Oct · 247 Wall St, 14 Oct · The Information · Investor's Business Daily, 16 Oct

FUNDING

SentinelOne raises about $1.41 billion; AI-use start-ups raise too

- **SentinelOne sold zero-interest convertible notes** due 2031. Net proceeds were about $1.41 billion.
- **It bought back $150 million of shares** and lists potential acquisitions among uses for the rest.
- **Harmonic Security raised $50 million**, Pluto Security $42 million and Opsin $21 million. All three secure how employees and AI agents use AI.
- **Our view:** every round of $20 million or more we found this week went to securing AI use.

SOURCES SEC, 16 Oct · SecurityWeek, 14 Oct · TechCrunch, 13 Oct · Dealroom, 15 Oct

DATA SECURITY

Cyera says it can now be bought through Anthropic's marketplace

- **Cyera says its AI security platform** is now available in the Claude Marketplace.
- **Anthropic customers can apply part** of their committed Anthropic spend to Cyera, Cyera says. It gave no prices.
- **Our view:** a data-security vendor can now be paid from an AI-model budget, not only a security budget.

SOURCES Cyera, 15 Oct

MORE BUSINESS MOVES

Other moves to keep in view

SECURE EDGE

Netskope and BT International say customers can now reach Netskope's secure edge through BT's network, as one managed bundle.

DATA SECURITY

Microsoft says Purview data loss prevention now checks FTP and SFTP transfers on managed Windows devices.

SECURITY OPERATIONS

Arctic Wolf announced several products, including shadow-AI discovery, which it says is coming soon.

PARTNERS

Microsoft moved Security Copilot and Sentinel into a consumption-based incentive for its reseller partners, its newsletter says.

IDENTITY

SailPoint's investor webcast gave no financial figures in the parts we could read.

GOVERNANCE

About 36% of votes cast at Elastic's annual meeting opposed one director, by our calculation. All proposals passed.

STORIES TO WATCH

What we are watching next

DEAL

Proofpoint and Varonis: a shareholder vote and regulatory approvals; close expected in the first half of 2027.

SECURE EDGE

Netskope Agent Action Control: promised for the end of Netskope's quarter, 31 October by our calculation. Its documentation calls it "a Beta feature".

DATA SECURITY

Purview controls for non-Microsoft apps: general availability planned for late October.

IDENTITY

Okta's gateway kill switch: still "coming soon".

RESULTS

Fortinet and Tenable on 28 October; Check Point 2 November; Varonis 3 November; Rapid7 4 November.

SOURCES

Sources

Company announcements, regulatory filings and reporting behind this week's stories.

COMPANY AND PRIMARY ANNOUNCEMENTS

SEC · Proofpoint and Varonis · Workday · IonQ · Cyera · Netskope · Microsoft · Arctic Wolf · Okta · Fortinet · Tenable · Check Point · Rapid7

BUSINESS AND TECHNOLOGY PRESS

Yahoo Finance · Calcalist · Ynetnews · 247 Wall St · The Information · Investor's Business Daily · SecurityWeek · TechCrunch · Dealroom · GuruFocus

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Full sources accompany the weekly summary.